

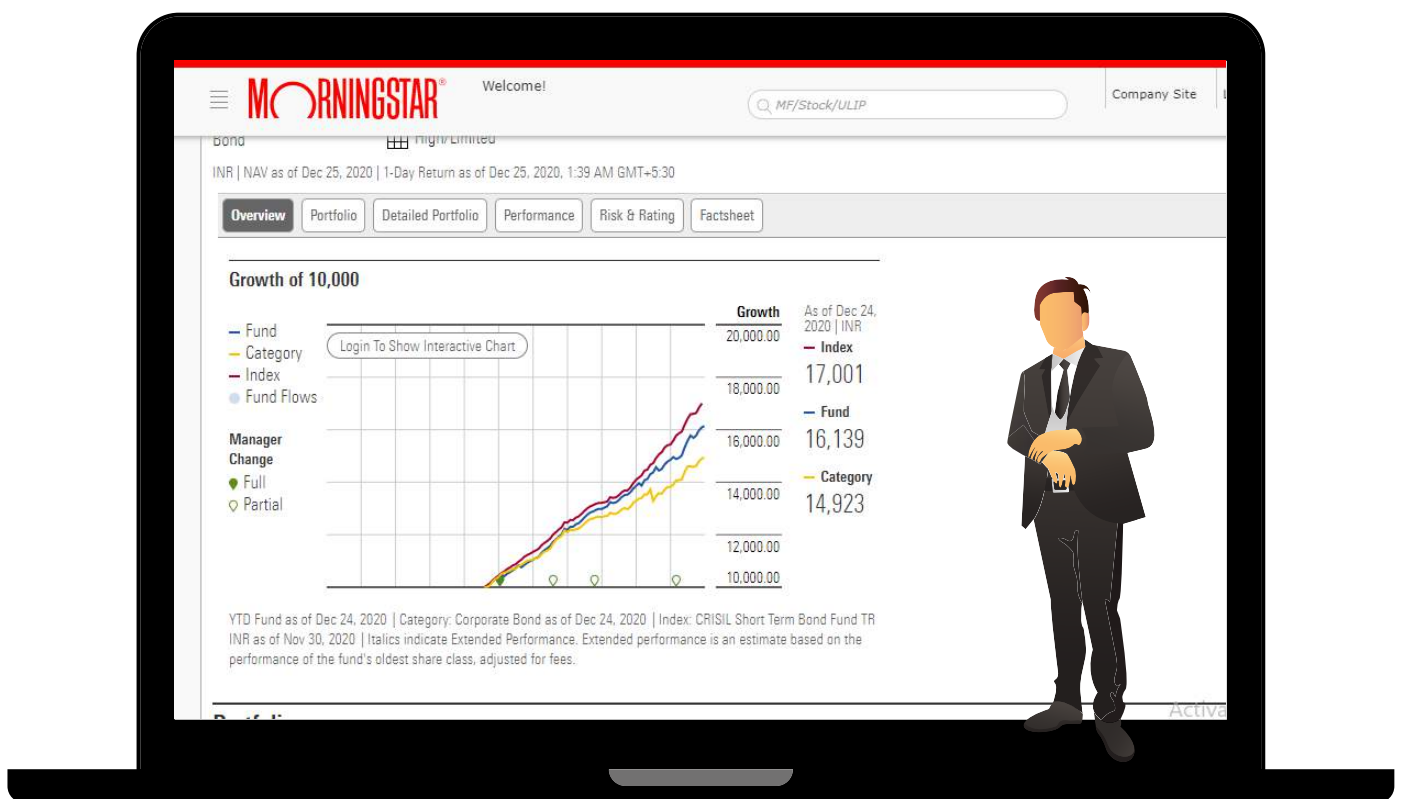
FACTORS TO CONSIDER

Once we have used the Morningstar screener, we will have a few mutual funds shortlisted in the category that we are interested in. The next step is to individually review each one of them and then select the most relevant one. To do this, we need to understand the parameters on which each mutual fund should be evaluated.

MANAGEMENT

The most important aspect of selecting a mutual fund is perhaps keeping at par with its management. The fund manager's skill will determine our results. Morningstar will give us the name of the manager. We will search for the manager on LinkedIn to get his past track record of employment. We want to make sure that the fund manager has at least seen 2 complete market cycles. This typically implies that the fund manager has been active in the markets for 15 years and it does not matter if it has been at another company or in a junior role. Do not invest if the management has not spent 15 years in the capital markets.

Second, we will see, for how long the fund manager has been in charge of the fund. Morningstar gives major management changes in its description of its fund. So, this is relatively simple. It wouldn't be a wise decision to invest with somebody who has not been in charge for at least 3 years. Lastly, we are to consider if the fund outperformed the category at this time. Even though past performance is not at all indicative of future performance, yet consistent outperformance of category is a positive sign.



SOURCE: Morningstar.in